UNITED STATES

SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended September 27, 2025

Commission File Number: 001-39842

PASSIONFRUIT INC.

(Exact name of Registrant as specified in its charter)

Delaware	**84-2174610**
(State or other jurisdiction of incorporation or organization)	(I.R.S. Employer Identification No.)

2400 Lavaca Street, Austin, Texas 78705

(Address of principal executive offices, including zip code)

(512) 555-0188

(Registrant's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading symbol(s)	Name of each exchange on which registered

Common Stock, $0.0001 par value per share	PFRT	The Nasdaq Global Select Market

Aggregate market value of voting and non-voting common equity held by non-affiliates as of March 28, 2025 (last business day of Registrant's most recently completed second fiscal quarter): approximately **$14.2 billion**.

316,184,520 shares of common stock outstanding as of November 14, 2025.

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PART I

Item 1. Business

Company Background

Passionfruit Inc. ("Passionfruit", the "Company", "we", "us", or "our") was incorporated in the State of Delaware on April 11, 2008, and is headquartered in Austin, Texas. The Company designs, manufactures and markets premium consumer technology products, including smart wearables, wireless audio devices, connected home accessories, and a portfolio of subscription-based digital services. The Company's fiscal year is the 52- or 53-week period ending on the last Saturday of September. Unless otherwise stated, references to particular years, quarters, months and periods refer to the Company's fiscal years.

Passionfruit sells its products and services through its direct retail and online stores, and through third-party cellular network carriers, wholesalers, retailers, and resellers. As of September 27, 2025, the Company operated 84 retail stores in 12 countries and an online storefront available in 38 countries.

Products

Pulse Wearables. The Pulse line includes the flagship Pulse Watch, Pulse Band fitness tracker, and Pulse Ring health sensor. The devices integrate with the Company's proprietary PassionOS operating system to deliver continuous biometric monitoring, contactless payments, and third-party application support. Pulse Wearables contributed approximately 41% of total net sales in fiscal 2025.

Audio. The Audio segment comprises the Passionfruit AirNote wireless earbuds and the Passionfruit StudioPod over-ear headphones. Audio products contributed approximately 23% of total net sales in fiscal 2025.

Home & Accessories. Connected home cameras, smart thermostats, charging accessories and branded apparel. This segment contributed approximately 9% of net sales in fiscal 2025.

Services

PassionCloud (subscription cloud storage and biometric data sync), **Passion+** (streaming wellness, fitness, and mindfulness content), **PassionPay** (digital payments and merchant processing), and **PassionCare** (extended hardware protection plans). Services revenue grew 12.5% year over year and contributed approximately 27% of net sales in fiscal 2025.

Markets and Distribution

The Company manages its business primarily on a geographic basis. The Company's reportable segments are: Americas, Europe, Greater China, and Rest of Asia Pacific. The Americas segment represented approximately 52% of total net sales in fiscal 2025; Europe 24%; Greater China 14%; and Rest of Asia Pacific 10%.

Competition

The markets for the Company's products and services are highly competitive, characterized by aggressive pricing, frequent product introductions, rapid technological change, and downward pressure on gross margins. Principal competitive factors include product features, relative price and performance, design innovation, software ecosystem, customer support, brand reputation, and access to distribution. The Company competes against companies with significantly greater financial, technical and marketing resources.

Supply Chain

Although most components essential to the Company's products are generally available from multiple sources, certain components are currently obtained from single or limited sources. The Company relies on outsourcing partners in China, Vietnam, India, and Mexico to perform substantially all of its final manufacturing and assembly of finished products. The Company's purchase commitments typically cover its forecasted demand for periods of 90 to 150 days.

Human Capital

As of September 27, 2025, the Company had approximately 18,500 full-time equivalent employees, of whom approximately 11,200 were based in the United States. None of the Company's employees are represented by a labor union.

Item 1A. Risk Factors

The Company's business, reputation, results of operations, financial condition, and stock price can be affected by a number of factors, whether currently known or unknown, including those described below. Any one or more of such factors could, directly or indirectly, cause the Company's actual financial condition and operating results to vary materially from past, or from anticipated future, financial condition and operating results. The order of presentation is not necessarily indicative of the level of risk that each factor poses to the Company.

Macroeconomic and Industry Risks. Global and regional economic conditions, including inflation, currency fluctuations, and reduced consumer discretionary spending, could materially adversely affect demand for Passionfruit's premium-priced products.

Supply Chain Concentration. A significant portion of final assembly is performed at facilities operated by a small number of contract manufacturers. Geopolitical tensions, trade restrictions, public health events or labor disputes affecting these partners could disrupt supply and harm operating results.

Component Single-Sourcing. Certain custom silicon components used in Pulse Wearables and AirNote products are sourced from a single supplier. Any inability of that supplier to deliver components in sufficient quantities or required quality could materially harm the Company.

Product Liability and Health Claims. Because Pulse Wearables and Pulse Ring collect biometric and limited health-adjacent data, the Company faces heightened product liability, regulatory and reputational risks. Inaccurate readings could expose Passionfruit to litigation and regulatory enforcement.

Information Security and Privacy. The Company stores significant volumes of customer biometric and payment information on its PassionCloud platform. A material breach, ransomware incident, or insider misuse could trigger regulatory penalties under GDPR, CCPA, India's DPDP Act and similar regimes.

Foreign Exchange. Approximately 48% of the Company's net sales in fiscal 2025 were generated outside the United States. Weakness in foreign currencies relative to the U.S. dollar could reduce reported revenue and gross margin.

Intellectual Property Litigation. The Company is subject to claims and litigation alleging infringement of patents and other intellectual property rights. Adverse outcomes could result in damages, royalty obligations, or restrictions on product features.

Climate and Environmental Regulation. Increased regulation of carbon emissions, packaging, and electronic waste in jurisdictions where the Company operates could raise compliance costs and require redesign of products.

Item 1B. Unresolved Staff Comments

None.

Item 2. Properties

The Company's headquarters are located in Austin, Texas, and consist of approximately 1.2 million square feet of office, research and development, and laboratory space owned by the Company. Additional engineering and R&D facilities are leased in San Diego, California; Cork, Ireland; and Bengaluru, India. The Company also leases all of its 84 retail stores. Management believes that the Company's existing facilities are suitable and adequate for its current operations.

Item 3. Legal Proceedings

The Company is subject to various legal proceedings and claims that arise in the ordinary course of business. In the opinion of management, there was no pending or threatened litigation as of September 27, 2025 that is reasonably likely to have a material adverse effect on the Company's consolidated financial position or results of operations. See Note 9, "Commitments and Contingencies", for further discussion.

PART II

Item 5. Market for Registrant's Common Equity

The Company's common stock is traded on The Nasdaq Global Select Market under the symbol "PFRT." The Company had 8,412 shareholders of record as of November 14, 2025. The Company declared cash dividends of $0.92 per share during fiscal 2025 and repurchased $480 million of common stock during the year under its previously authorized $2.0 billion repurchase program.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion should be read in conjunction with the consolidated financial statements and the related notes that appear elsewhere in this Annual Report on Form 10-K. This section of this Form 10-K generally discusses fiscal 2025 and fiscal 2024 items and year-to-year comparisons between fiscal 2025 and fiscal 2024.

Fiscal 2025 Highlights

Metric	FY2025	FY2024	Change
Net sales ($M)	8,547	7,932	+7.8%
Gross margin	44.2%	43.1%	+110 bps
Operating income ($M)	1,915	1,680	+14.0%
Net income ($M)	1,524	1,332	+14.4%
Diluted EPS ($)	4.82	4.18	+15.3%
Cash from operations ($M)	1,890	1,624	+16.4%

Net Sales by Category

($ in millions)	FY2025	FY2024	Change
Pulse Wearables	3,504	3,290	+6.5%
Audio	1,966	1,810	+8.6%
Home & Accessories	780	790	(1.3%)
Products subtotal	**6,250**	**5,890**	**+6.1%**
Services	2,297	2,042	+12.5%
Total net sales	**8,547**	**7,932**	**+7.8%**

Pulse Wearables net sales increased 6.5% in fiscal 2025, primarily driven by higher unit sales of Pulse Watch Series 9 and the September 2025 launch of Pulse Ring, partially offset by lower average selling prices on the Pulse Band line. Audio net sales increased 8.6%, reflecting the AirNote Pro 2 launch in March 2025. Services revenue growth of 12.5% reflects continued strong expansion of the PassionCloud and Passion+ subscriber bases.

Net Sales by Geographic Segment

($ in millions)	FY2025	FY2024	Change
Americas	4,444	4,124	+7.8%
Europe	2,051	1,890	+8.5%
Greater China	1,197	1,134	+5.6%
Rest of Asia Pacific	855	784	+9.1%
Total	**8,547**	**7,932**	**+7.8%**

Gross Margin

($ in millions)	FY2025	FY2024
Products gross profit	2,468	2,257
Products gross margin	39.5%	38.3%
Services gross profit	1,310	1,162
Services gross margin	57.0%	56.9%
Total gross profit	**3,778**	**3,419**
Total gross margin	**44.2%**	**43.1%**

Total gross margin expanded 110 basis points in fiscal 2025, driven by a favorable mix shift toward higher-margin Services revenue, manufacturing efficiencies on the Pulse Watch line, and improved component pricing. These improvements were partially offset by unfavorable foreign-exchange impacts of approximately $42 million.

Operating Expenses

($ in millions)	FY2025	FY2024	Change
Research and development	1,128	1,030	+9.5%
Selling, general and admin	735	709	+3.7%
Total operating expenses	**1,863**	**1,739**	**+7.1%**
R&D as a % of net sales	13.2%	13.0%	

Liquidity and Capital Resources

As of September 27, 2025, the Company had $1,250 million in cash and cash equivalents and $1,820 million in marketable securities, for total liquidity of $3,070 million. The Company believes that its existing cash, marketable securities, and cash generated from operations will be sufficient to fund its operations, planned capital expenditures, dividends, and share repurchases for at least the next twelve months. The Company's long-term debt balance was $1,250 million as of September 27, 2025, comprised of senior unsecured notes maturing in 2028 and 2032. The Company's investment-grade credit ratings are: **S&P A-**, **Moody's A3**.

Debt service coverage ratio (DSCR) for fiscal 2025 was 4.85x and the **interest coverage ratio (ICR)** was 18.6x, both substantially above the covenants in the Company's senior unsecured notes. The current ratio at year-end was 2.14, and the debt-to-equity ratio was 0.30.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

The Company is exposed to economic risk from foreign exchange rates, interest rates, and credit risk. The Company uses derivative instruments to partially offset its business exposure to foreign exchange and interest rate risk. A hypothetical 10% adverse change in foreign currency exchange rates would have reduced fiscal 2025 net income by approximately $84 million. A hypothetical 100 basis-point increase in interest rates would have reduced the fair value of the Company's investment portfolio by approximately $35 million.

Item 8. Financial Statements and Supplementary Data

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except number of shares which are reflected in thousands and per-share amounts)

	FY2025	FY2024	FY2023
Net sales:			
Products	6,250	5,890	5,540
Services	2,297	2,042	1,815
Total net sales	**8,547**	**7,932**	**7,355**
Cost of sales:			
Products	3,782	3,633	3,468
Services	987	880	790
Total cost of sales	**4,769**	**4,513**	**4,258**
Gross profit	**3,778**	**3,419**	**3,097**
Operating expenses:			
Research and development	1,128	1,030	942
Selling, general and administrative	735	709	672
Total operating expenses	**1,863**	**1,739**	**1,614**
Operating income	**1,915**	**1,680**	**1,483**
Other income/(expense), net	62	48	31
Income before provision for income taxes	1,977	1,728	1,514
Provision for income taxes	453	396	348
Net income	**1,524**	**1,332**	**1,166**
Earnings per share:			
Basic	4.86	4.22	3.65
Diluted	4.82	4.18	3.62
Weighted-average shares (in thousands):			
Basic	313,580	315,640	319,500
Diluted	316,184	318,420	322,100

CONSOLIDATED BALANCE SHEETS

(In millions, except number of shares which are reflected in thousands and par value)

	Sep 27, 2025	Sep 28, 2024
ASSETS		
Current assets:		
Cash and cash equivalents	1,250	1,062
Marketable securities	1,820	1,640
Accounts receivable, net	1,180	1,055
Inventories	780	725
Vendor non-trade receivables	560	510
Other current assets	245	228
Total current assets	**5,835**	**5,220**
Non-current assets:		
Property, plant and equipment, net	2,140	1,950
Goodwill and intangibles, net	1,025	975
Other non-current assets	820	742
Total non-current assets	**3,985**	**3,667**
Total assets	**9,820**	**8,887**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	1,395	1,256
Other current liabilities	920	835
Deferred revenue	412	360
Commercial paper	0	0
Current portion of long-term debt	0	0
Total current liabilities	**2,727**	**2,451**
Non-current liabilities:		
Long-term debt	1,250	1,250
Deferred tax liabilities	320	295
Other non-current liabilities	1,343	1,162
Total non-current liabilities	**2,913**	**2,707**
Total liabilities	**5,640**	**5,158**
Shareholders' equity:		
Common stock and additional paid-in capital	1,820	1,756
Retained earnings	2,418	2,019

Accumulated other comprehensive loss	**(58)**	**(46)**
Total shareholders' equity	**4,180**	**3,729**
Total liabilities and shareholders' equity	9,820	8,887

CONSOLIDATED STATEMENTS OF CASH FLOWS

(In millions)

	FY2025	FY2024	FY2023
Cash and cash equivalents, beginning of year	1,062	920	810
Operating activities:			
Net income	1,524	1,332	1,166
Depreciation and amortization	412	378	342
Share-based compensation expense	215	192	168
Deferred income tax expense	25	18	14
Changes in working capital	(286)	(296)	(218)
Cash generated by operating activities	**1,890**	**1,624**	**1,472**
Investing activities:			
Purchases of marketable securities	(2,150)	(1,820)	(1,640)
Proceeds from marketable securities	1,970	1,660	1,490
Payments for property, plant and equipment	(602)	(548)	(498)
Payments made for business acquisitions	(85)	(40)	(120)
Cash used in investing activities	**(867)**	**(748)**	**(768)**
Financing activities:			
Repurchases of common stock	(480)	(420)	(380)
Payments for dividends	(289)	(254)	(214)
Proceeds from issuance of long-term debt	0	0	0
Repayments of long-term debt	0	0	0
Other financing activities	(66)	(60)	0
Cash used in financing activities	**(835)**	**(734)**	**(594)**
Net increase in cash	**188**	**142**	**110**
Cash and cash equivalents, end of year	**1,250**	**1,062**	**920**

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Note 1 — Summary of Significant Accounting Policies

Basis of Presentation and Preparation. The accompanying consolidated financial statements include the accounts of Passionfruit Inc. and its wholly owned subsidiaries. Intercompany accounts and transactions have been eliminated in consolidation. The Company's fiscal year is the 52- or 53-week period ending on the last Saturday of September. The financial statements have been prepared in accordance with U.S. generally accepted accounting principles (GAAP). All amounts are in U.S. dollars unless otherwise noted.

Revenue Recognition. Revenue is recognized when control of a promised good or service is transferred to the customer, in an amount that reflects the consideration the Company expects to receive. The Company recognizes Products revenue at the point in time when delivery occurs and Services revenue ratably over the subscription term.

Inventories. Inventories are stated at the lower of cost (computed on a first-in, first-out basis) or net realizable value.

Note 2 — Revenue

Disaggregated net sales by category and geographic segment are presented in MD&A above. Deferred revenue of $412 million as of September 27, 2025 is expected to be recognized over a weighted-average remaining service period of 11 months.

Note 5 — Debt

Instrument	Maturity	Rate	Carrying Value ($M)
Senior unsecured notes	Jun 2028	3.75%	500
Senior unsecured notes	Sep 2032	4.25%	750
Total long-term debt			**1,250**

The notes contain customary covenants, including a maximum consolidated leverage ratio of 3.50x and a minimum interest coverage ratio of 3.00x. The Company was in compliance with all covenants as of September 27, 2025.

Note 9 — Commitments and Contingencies

As of September 27, 2025, the Company had $612 million in unconditional purchase obligations, primarily for components and manufacturing capacity, with payments due as follows: $402 million in fiscal 2026; $156 million in fiscal 2027; and $54 million thereafter. Operating lease obligations totaled $325 million as of September 27, 2025.

Item 9A. Controls and Procedures

Evaluation of Disclosure Controls and Procedures. Based on an evaluation under the supervision and with the participation of the Company's management, including the Chief Executive Officer and Chief Financial Officer, the Company's Chief Executive Officer and Chief Financial Officer have concluded that the Company's disclosure controls and procedures (as defined in Rules 13a-15(e) and 15d-15(e) under the Exchange Act) were effective as of September 27, 2025.

Management's Report on Internal Control Over Financial Reporting. Management is responsible for establishing and maintaining adequate internal control over financial reporting for the Company. Management has assessed the effectiveness of the Company's internal control over financial reporting as of September 27, 2025 based on the criteria established in the *Internal Control – Integrated Framework (2013)* issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO). Based on this assessment, management has concluded that, as of September 27, 2025, the Company's internal control over financial reporting was effective.

The effectiveness of the Company's internal control over financial reporting as of September 27, 2025 has been audited by Ernst & Whitman LLP, an independent registered public accounting firm, as stated in their report which is included in Exhibit 13.2 of this Annual Report.

PART III

Item 10. Directors, Executive Officers and Corporate Governance

Information regarding the Company's executive officers required by Item 10 is set forth below.

Name	Age	Position
Mira Achebe	54	Chair, President and Chief Executive Officer
Daniel R. Holloway	49	Senior Vice President and Chief Financial Officer
Priya Subramanian	47	Senior Vice President, Hardware Engineering
Marcus T. Lin	52	Senior Vice President, Services
Helen Park	50	General Counsel and Corporate Secretary

Additional information required by Items 10 through 14 is incorporated herein by reference from the Company's definitive Proxy Statement for its 2026 Annual Meeting of Stockholders, to be filed with the Commission within 120 days after the end of fiscal 2025.

PART IV

Item 15. Exhibits and Financial Statement Schedules

Exhibit No.	Description
3.1	Restated Certificate of Incorporation
3.2	Amended and Restated Bylaws
4.1	Indenture for the 3.75% Senior Notes due 2028
10.1	2018 Equity Incentive Plan, as amended
13.2	Report of Independent Registered Public Accounting Firm (Audit Report)
21.1	List of Subsidiaries
23.1	Consent of Independent Registered Public Accounting Firm
31.1	Certification of CEO pursuant to Section 302
31.2	Certification of CFO pursuant to Section 302
32.1	Certifications pursuant to Section 906

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

PASSIONFRUIT INC.

Date: November 14, 2025

By: /s/ Mira Achebe

Mira Achebe

Chair, President and Chief Executive Officer